
UNIT 8 COMPONENTS OF BALANCE OF PAYMENTS *

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8.0 OBJECTIVES

After studying this Unit, you should be able to:

- appreciate the importance of the balance of payments (BoP) for a country;
- explain the concepts related to BoP;
- distinguish between:
 - i) balance of trade and balance of payments;
 - ii) current and capital account of BoP;
 - iii) autonomous and accommodating transactions of BoP;
- describe the components of the current and capital account of BoP;
- highlight the significance of autonomous and accommodating items;
- discuss the nature and implications of disequilibrium in the form of 'surplus' and 'deficit' of BoP; and
- examine the policy measures required for removing disequilibrium in BoP.

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8.1 INTRODUCTION

This unit examines the framework used to summarize a country's international transactions. The scorecard is the balance of payments, the set of accounts recording all flows of value between a nation's residents and the rest of the world during a period of time. The balance of payments shows a wealth of information about a country's international economic transactions. An international transaction is an exchange of goods, services, or assets between residents of one country and those of another. It is also a key to understanding how people trade one country's money for that of another country. In addition, the exchanges documented in the balance of payments have major implications for macroeconomic concerns like growth, inflation and unemployment. Trends in the balance of payments as a whole, including trade, need to be analyzed to assess the interactions and inter-relations between an economy's domestic and external sectors.

8.2 IMPORTANCE OF BALANCE OF PAYMENTS (BoP) FOR A COUNTRY

BoP is one way to measure a country's international economic situation. It indicates a country's status in international trade. Persistent disequilibrium in the balance of payments, particularly the deficit balance, is undesirable because it (a) weakens the country's economic position at the international level, and (b) affects the economy's progress adversely. BoP accounting highlights a country's competitive strengths and weaknesses and helps achieve balanced economic growth. It can significantly affect a government's economic policies and the economy itself. Capital receipts and payments indicate the country's external debt position and changes in it. BoP data are of interest because they reveal demand for the country's currency and BoP trend helps to predict what sort of economic environment may develop in the country.

The transition to floating exchange rate regimes in the 1970s changed the focus from the total BoP to its various subaccounts like the Current and Financial Account balances. These are the indicators of economic activities and currency repercussions to come. The balance of payments can be used to forecast economic conditions and, in some cases, the likelihood of an economic crisis. International crises have occurred for as long as there have been international trade and commerce. And they will occur again. Each crisis has its unique characteristics, but all follow some of the economic fundamentals.

8.3 CONCEPT OF BoP

The balance of payments of a country is a systematic record of all economic transactions during the period between residents of the reporting country and residents of other countries. It is a summary of the monetary value of all exchanges and transfers of goods, services and evidence of debt or ownership –

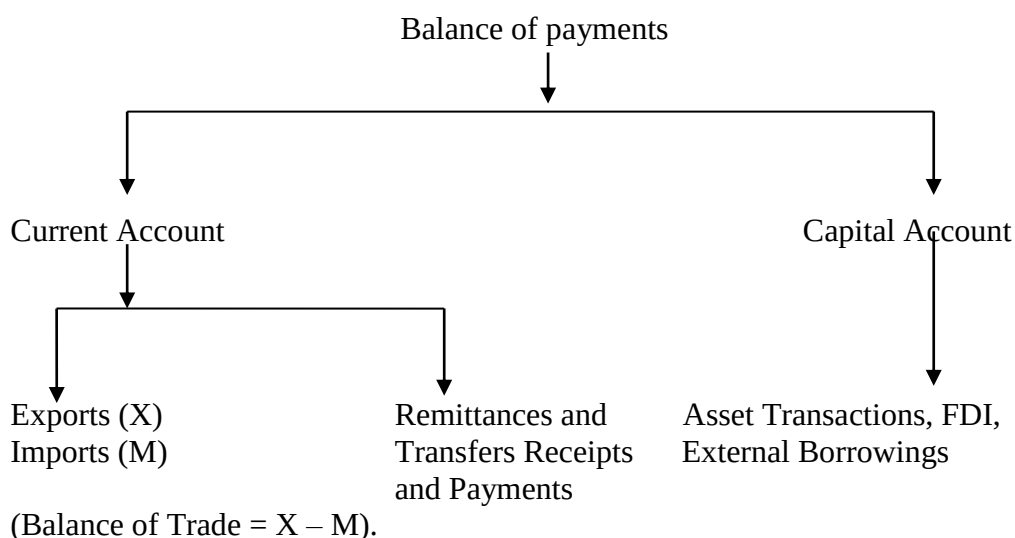
suitably classified and aggregated between the residents, businesses and government and other institutions of one country and the rest of the world for a given period of time, usually a year. Exports and imports of goods and services, and all the other items, are flow items. That has all dimensions of an amount per day, month, year, or whatever the period in question may be. The International Monetary Fund (IMF) has developed a standardized BoP system and form of presentation. All transactions entering the balance of payments can be grouped into three broad accounts within the balance of payments:

- i) the current account - records transactions in goods and services and transfer payments;
- ii) the capital account - represents a change in a country's foreign assets and liabilities; and
- iii) the official international - records transactions in monetary gold and other reserve assets (notably convertible currencies, the country's 'reserve tranche' at the IMF and SDRs.

The BoP is often misunderstood because many people believe it to be a balance sheet, rather than a cash flow statement. By recording all international transactions over a period of time, it is tracking the continuing flow of purchases and payments between a country and all other countries. It does not add up the value of all assets and liabilities of a country like a balance sheet does for an individual firm. In short, BoP means:

- i) record of all international economic transactions;
- ii) the type of economic transactions that dominate are real assets, financial assets, and services;
- iii) it is not a balance sheet;
- iv) it is a flow statement; and
- v) during a period of time, usually one year.

In a tabular form structure of BoP transactions may be presented as under:



8.4 SOME RELATED CONCEPTS

For the sake of clarity in understanding, three important concepts are explained in this section. They are: (i) the distinction between the balance of trade and the balance of payments, (ii) autonomous and accommodating transactions, and (iii) the balance of payments always balances.

8.4.1 Balance of Trade and Balance of Payments

A marked distinction exists between the concepts of balance of trade and balance of payments. BoP transactions take the form of trade in goods and services, capital movements or financial flows. These three forms of transaction give rise to a compartmentalization of the balance of payments accounts. Balance of trade refers to the visible items only. Import or export of goods is a visible item because it is an open trade among the countries and can be easily certified 'by the customs officials'. The net receipts from exports and imports of merchandise constitute the balance of trade (BoT). A trade deficit for a country arises in a particular year if the value of its exports is smaller than the value of its imports. The balance of trade need not always balance. The important point to remember is that there may be a balance of *trade* deficit and still a balance of *payment* surplus or *vice versa*. In other words, a trade deficit does not necessarily imply that the country is losing reserves, etc.; long-term movements account for the difference.

The merchandise trade is only a portion of the thousands of different international transactions that occur in the country each year. It is the official term for net exports that makes up the balance of payments. It is just one part of the balance of payments. The official balance of trade is separated into the balance of merchandise trade for tangible goods and the balance of services. BoP is more comprehensive than the balance of trade. Balance of payments includes apart from the balance of trade or merchandise account, the invisible account which is again composed of the services sector and the gifts and charities account comprising a variety of invisible items, plus a record of the capital account. Thus, the balance of trade is only a partial study of the balance of payments. However, the balance of trade is nothing but a major component of the balance of payments. In short, the balance of trade is a partial picture, while the balance of payments is a complete picture of the country's international economic relations. Further, in the accounting sense, the balance of trade may be a deficit or surplus. It may, thus, be imbalanced. But the balance of payments as a whole must always balance. For that reason, there is an item like "Errors and Omissions" in its structure.

8.4.2 Autonomous and accommodating transactions

A double-entry accounting principle leads to the distinction generally made between underlying, originating or '*autonomous*' transactions, and those which are merely the financial counterparts or the '*accommodating*' transaction. This distinction is usually attributed to *James Edward Meade*. Autonomous transactions such as trade flows, direct investment, and portfolio investment are independent of other items and not restricted by the size of other balance of payments transactions. These items are also called *above-the-line items in BoP accounts*. Autonomous transactions are undertaken solely to make international trade possible. '*Autonomous*' refers to transactions undertaken spontaneously for their own sake.

Accommodating transactions depend on the other items and should be shown as identically equal to the autonomous transaction such that total credits equal total debits. Accommodating items reflect government actions aimed at altering the size and the composition of the balance of payments, and they are sometimes referred to as *below-the-line items*. Representing each entry independently will not guarantee equality between credits and debits. As such, it is important to identify the counterpart entries or '*accommodating*' items to ensure total credits equal total debits. It should be clear that net autonomous transactions are counterbalanced by equivalent net accommodating transactions. A balance of payments surplus or deficit refers only to autonomous transactions.

8.4.3 Balance of payments always balances

The *balance of payments* is strictly an accounting term used to describe *a record of all of the transactions between one country and the rest of the world*. A *balance of payments problem* is, accordingly, *a problem about how the balance of payments balances*. In practice, it is difficult to achieve where receipts equal payments. In reality, total receipts may diverge from total payments because of:

- i) the difficulty of collecting accurate trade information;
- ii) the difference in the timing between the two sides of the balance; and
- iii) a change in the exchange rates.

To say that the '*balance of payments always balances*' is to say that a net credit balance in one of these accounts must have a counterpart net debit balance in one of the other accounts. The algebraic sum of the three accounts' net credit and debit balances must equal zero. Thus, a net credit balance on the current account of say, (+) Rs. 100 crores, may have a counterpart net debit balance on the capital account of say (-) Rs.100 crores (that is, an outflow of capital), a net inflow of gold by Rs.100 crores or a combination of capital outflow and gold inflow equal to the Rs. 100 crores surplus on the current account. It simply results from the double-entry book-keeping procedure which is used to record the transactions.

Because of measurement problems, recourse is made to '*balancing item*' that intends to eliminate measurement errors. The purpose of incorporating this item in the BoP account is to adjust the difference between the sums of the credit and the sums of the debit items in the BoP accounts so that they add up to zero by construction. Hence the proposition: '*the BoP always balances*'. It is a truism. It only suggests that the two sides of the accounts must always show the same total. It implies only equality. In this bookkeeping sense, BoP always balances. '*Balance of payments always balances*' has no economic significance.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Define the balance of payments.

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2) Distinguish between autonomous and accommodating transactions in the balance of payments.

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3) Why must a country's balance of payments always be balanced in theory?

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4) How does the balance of payments differ from the balance of trade?

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5) Highlight the importance of BoP for an economy.

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8.5 COMPONENTS OF BoP

There are a wide variety of accounts that determine the BoP, but for purposes of analysis, they can be grouped into three broad categories: current account items, capital account items, and reserves.

Current account

The current account consists of *merchandise trade, services, and unrequited transfers*. Merchandise trade is typically the first part of the current account. It receives more attention than any of the other accounts because this is where *the imports and exports of goods are reported, and these are often the largest single component of all international transactions. Merchandise trade transactions can affect a country's BoP in several ways.* The transactions in the current account affect national income and, in terms of income analysis, the level of output and employment.

The second type of transaction in the current account is a payment (or receipts) for which there are no corresponding receipts (or payments). These are called unrequited payments and receipts. These transactions are unilateral transfers. The net receipts from these transactions and the transactions in the trading account constitute the balance of the current account. Thus, positive net receipts imply a current account surplus and negative net receipts-payments exceeding receipts imply a current account deficit.

Services

The services category includes many payments such as freight, banking and insurance on international shipments; tourist travel; profits and income from overseas investment; personal expenditures by government, civilians, and military personnel overseas; and payments for management fees, royalties, film rental, and construction services. *Purchases of these services are recorded as debits, while sales of these services are similar to exports and are recorded as credits.*

The balance of the current account, is a larger concept than the balance of trade, as it includes the balance of trade, the balance of services, and the balance of unrequited transfers. The balance of the current account need not be equal but can show a surplus or a deficit. The balance of the current account is a very important concept, as it shows the flow aspect of a country's international transactions.

Capital account

The capital account records all international purchases and sales of assets such as money, stocks, bonds, etc. Capital account items are transactions that involve claims in ownership. It shows the net change in foreign-asset ownership of a nation. *Direct investment* involves managerial participation in a foreign enterprise and some control. *A portfolio investment* is an investment designed to obtain income or capital gains. Transactions in the capital account affect the country's international debtor or creditor position and the distribution of wealth and debt. Capital account transactions give rise to future claims such as acquiring foreign assets or shares in companies located abroad.

The capital account consists of the reserve account (the net change of foreign exchange of a nation's central bank in market operations), loans and investments made by the nation (excluding the future interest payments and dividends yielded by loans and investments). If net foreign exchange is negative, the capital account is said to be in deficit. The capital account transactions are difficult to measure. The capital and financial accounts could run a large enough surplus to offset a *trade deficit*.

Reserves or monetary movements

This refers to a record of the transaction with the International Monetary Fund (IMF) and foreign exchange reserve that mainly consists of holding gold and foreign currency assets. Drawings (treated as a kind of borrowing) from the IMF is a credit item, whereas repayments made to IMF are debit items. Drawing down of reserve, which is an inflow into the balance of payments from the reserve account, is a credit item. Like any other inflow, these reserves can be used to support a deficit elsewhere in the balance of payments. Similarly, additions to the reserve account are an outflow from the balance of payments to the reserve account and are, therefore, a debit item. Reserves are used for bringing BoP accounts into balance. When all the components of the balance of payments are taken together, the balance of payments should be in balance. Credits should equal debits.

Balancing item of BoP

Given that millions of rupees in transactions are reported in BoP statements, it should come as no surprise that the number of recorded debits is never equal to the number of credits. This is why there is an entry for net errors and omissions in the reserve account. Net errors and omissions reflect the imbalances resulting from imperfections in source data and compilation of the balance of payments accounts. This is also known as a balancing item.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Explain the components of BoP.

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2) What are merchandise trade and service trade?

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